Meta Platforms (META) - Earnings Brief

3Q26 results (quarter to 30 September 2026) | Post-call version | 22 October 2026 | Josh, with Trevor and Scott

Executive snapshot

Consensus thesis: Ads compounding in the mid-to-high 20s % fund an AI build that can run hot without hurting AA- credit; the stock trades on the size of the 2027 capex number.

Thesis status: Monitoring (one pillar Challenged, two Confirmed, one Unresolved)

Versus expectations: Quarter: beat on revenue ($64.60bn vs $63.2bn LSEG, above the $61-64bn guide); GAAP EPS $3.83 vs headline LSEG consensus $5.75 (set before the charge); in line with the only charge-inclusive estimate found ($3.79 BofA). Outlook: above on 4Q revenue ($73-76bn, +22-27% YoY); in line on 2026 capex (low end raised to $135bn); no 2027 capex number, which the stock was trading on. Shares -6.5% intraday 22 Oct ($652.03 at about 9:50 am ET).

Biggest changes

- Funding turned: free cash flow negative $2.12bn (first negative quarter in the five quarters reviewed) and net debt ~$1.2bn; capex was 106% of operating cash flow.
- Meta created a non-voting Class C stock for capital raising, among other purposes (also employee compensation, acquisitions, general corporate purposes) (effective 19 Jan 2027): equity is now a named funding source for compute.
- Off-balance-sheet obligations jumped again: leases not yet commenced $355.7bn (+$76.7bn QoQ, 3.4x year-end), non-cancelable commitments $454.5bn (+$105.2bn; mostly third-party cloud), maximum RVG $41.5bn after the El Paso (Texas) JV.
- New lease and commitment categories: 'energy-related infrastructure' and 'energy service agreements for data centers' now appear in the notes; Meta is contracting power as well as halls.
- Inference economics moved centre stage: Muse is 'very compute intensive'; management targets >10x cost efficiency within a year and wants to sell 'high margin inference'.

Investor takeaway: The consensus view should shift from 'cash-funded build' to 'externally funded build': long-term ad compounding holds, but Meta is now a net borrower with ~$825bn of off-balance-sheet commitments (gross, components may overlap: uncommenced leases, purchase commitments, contingent cloud) and an equity tool for capex, so credit quality is weakening at the margin.

What to monitor next quarter

- 4Q26 call (late January 2027): 2027 capex and expense guide vs ~$193-205bn street range.
- Any Class C issuance, new bond deal or third JV/SPV; pricing vs the April 2026 curve (T+53 to T+147bp).
- 4Q26 FCF (implied 4Q capex $49-59bn vs ~$33bn quarterly operating cash flow) and the New Mexico appeal bond.

Pillar scorecard

Pillar	What the market assumed	What the quarter showed	Verdict	Source
P1 Ads fund the build	Revenue ~$63.2bn; high-20s growth	$64.60bn, +26% YoY; 4Q guide $73-76bn (+22-27%)	Confirmed	3Q26 8-K
P2 Capex top of range; 2027 ~$193-205bn	2026 $140-145bn (BofA); 2027 guide	2026 $135-145bn; implied 4Q $49-59bn; 2027 deferred to 4Q call	Unresolved	8-K; call
P3 Funded by OCF + debt + JVs, AA- intact	FCF thin but positive	FCF -$2.12bn; net debt ~$1.2bn; Class C for capital raising among other purposes; CDS record 108bp (Oct)	Challenged	8-K; 10-Q; press
P4 D&A compresses 2027 margins	~40% 2027 expense growth	D&A +44% YoY; op. margin ex-charge 35% vs 40%; no 2027 guide	Confirmed	8-K
P5 Third-party capacity a bridge	CoreWeave/Nebius share; Meta Compute	Commitments $454.5bn, mostly 3rd-party cloud; due 2027 $121.4bn (from $81.7bn)	Confirmed	10-Q Note 10

Key KPIs

Metric ($bn unless stated)	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Revenue	64.60	60.80	51.24	+6.3% / +26.1% [↑]	Steady high-20s

Metric ($bn unless stated)	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Operating margin ex-legal charge	35%	n.a.	40%	n.a. / -5pp [↓]	D&A and cloud
Capex incl. finance-lease principal	34.91	31.08	19.37	+12.3% / +80.2% [↓]	Rising
Free cash flow	-2.12	0.78	10.63	neg. / neg. [↓]	First negative
Capex / operating cash flow	106%	98%	65%	+8pp / +42pp [↓]	Above 100%
Depreciation and amortization	7.15	6.36	4.96	+12.6% / +44.1% [↓]	Accelerating
Net cash (debt)	(1.22)	6.60	15.62	flips to net debt [↓]	First net debt
Leases not yet commenced	355.73	278.99	n.a.	+27.5% / 3.4x YE25 [↓]	103.77 at YE25
Non-cancelable commitments	454.52	349.31	n.a.	+30.1% / 3.5x YE25 [↓]	131.05 at YE25
Max. residual value guarantees	41.49	n.a.	n.a.	28.09 at YE25 [↓]	Texas JV added

Guidance

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
4Q26 revenue	$73-76bn	New	n.a. (not found)	AI lifts ads; 1% FX headwind	Strong; +22-27% YoY
2026 total expenses	$175-179bn	Raised $10bn	Charge only	Adds $9.9bn legal charge	Underlying unchanged
2026 capex (incl. FL)	$135-145bn	Low end +$5bn	In line (BofA $140-145bn)	Servers, DCs, network	Implied 4Q $49-59bn
2027 capex	None; 'invest aggressively'	None	~$193-205bn street	Plans still in development	Deferred; risk upward

Top risks

Risk	Prior status	Current	Direction	Implication
Funding / refinancing	Cash-funded, net cash $6.6bn	FCF negative; net debt; Class C	Up	Equity dilution or wider spreads in 2027
Off-balance-sheet guarantees	RVG $28.1bn (YE25)	RVG $41.5bn; exposure $68.4bn	Up	Contingent debt-like claims
Legal cash calls	AG settlement up to $18.6bn	NM $25bn penalty + 15% interest; appeal bond	Up	Competes with capex for cash

Analyst focus (Trevor): Analysts pressed on Muse economics (3 of 7 questions on compute cost) and on capital structure (Sheridan), but 2027 capex was deflected to the 4Q call and no one asked about RVGs, leases or depreciation. Watch-list lead: Eric Sheridan (Goldman Sachs).

Questions for owners and Kona read-through

Questions for owners (which were asked on the call, and how they were answered)

- Leases not yet commenced rose $76.7bn in a quarter to $355.7bn, 3.4x year-end. What share starts in 2027, and what annual rent does that add to 2027 expenses? (asked: no) *Why it matters: Sizes the fixed-cost step-up behind P4.*
- You created Class C for capital raising, among other purposes, while saying there are 'no specific financing plans'. Will you commit not to issue Class C for cash in 2027 if capex is in the ~$190bn+ range? (asked: partly, Sheridan; answer partial) *Why it matters: Tests P3 and dilution.*
- Maximum RVGs rose to $41.5bn. At what campus value falls would RVG payments become probable, and what are the RVG thresholds per campus? (credit; asked: no) *Why it matters: Hidden leverage.*

Read-across for Kona: Meta still guides capacity tight through 2027. It is signing 'energy service agreements' and leasing 'energy-related infrastructure', so power bundled with compute is now something a hyperscaler contracts for. Kona can pitch power as an energy service contract, not only as land plus a hall. The structures to copy are short initial terms (4 years) with a residual value guarantee, and a buyer who backstops capacity it resells. Meta's cost of capital is rising, so Kona should expect investment-grade buyers to push risk onto the developer through short terms and RVG caps, and should price debt on the tenant's credit, not the asset.